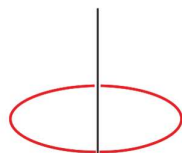


Equity Research

23rd September 2021

Initiating Coverage



DALAL & BROACHA
STOCK BROKING PVT. LTD.



HERANBA
INDUSTRIES LTD



The Compounding Molecule

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Investment Argument:

➤ **Synthetic pyrethroid – Future molecule of agro-chemicals**

Pyrethroids are cost-effective alternatives & less toxic compound as compared to conventionally used insecticides. They are also **replacing traditionally used or ganophosphates** (majorly used as insecticides). Any change happening in the agro chemical value chain, pyrethroid can stand out to be a big beneficiary.

➤ **Present in entire value chain of agrochemicals with domestic market share of 19.5% in pyrethroid market**

- Heranba is present in **5 majorly used pyrethroids** namely Cypermethrin, Alphacypermethrin, Deltamethrin, Permethrin and Lambda cyhalothrin covering almost 70% of pyrethroid universe.
- Heranba Industries is present in the entire value chain of agrochemicals (i.e. intermediates, technical & formulations) with a **domestic market share of 19.5% in pyrethroid market** (in terms of production values). Company has the required flexibility to switch between products based on market demand-supply & pricing dynamics.

➤ **Healthy revenue guidance @18-20% CAGR**

- Management has guided for **revenue growth of 18-20% CAGR between FY22 to FY24**. Historically company has been growing at ~18% CAGR between FY18 to FY21 aided by registrations in newer geographies & introduction of newer molecules.
- According to this guidance company should **add ~ Rs.7,000-8,000 Mn** to topline over next 2-3 years post capex plan of ~Rs.2,500 Mn getting executed (assuming an asset turn of ~3-3.5 on technicals business). Company expects to maintain **healthy gross margins in the range of 35-36% & EBITDA margins of 18-20% over next 2-3 years**.

➤ **Launching of newer molecules (Opportunity size of ~ \$600-700 Mn ; ~INR 4,500-5,000 crores)**

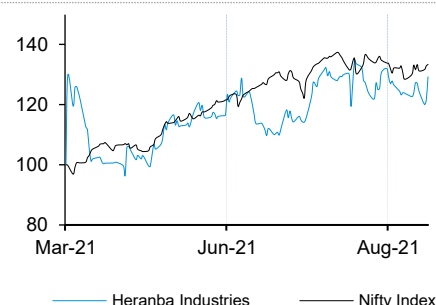
- Company is in process of developing **(2) products of Fungicides, (2) products of Herbicides and (1) product of Insecticides**, for which research and development tests have been initiated, for exclusive sale to the European markets after registration with the regulatory authority in EU.
- Company expects to add 4-5 new molecules every year on an ongoing basis. Management has guided that the newer molecules shall have better margin profile.

Rating	TP (Rs)	Up/Dn (%)
BUY	1200	48

Market data

Current price	Rs	810
Market Cap (Rs.Bn)	(Rs Bn)	32.44
Market Cap (US \$ Mn)	(US \$ Mn)	441
Face Value	Rs	10
52 Weeks High/Low	Rs	945/602
Average Daily Volume	('000)	138
BSE Code		543266
Bloomberg		HERANBA:IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Jun-21	Mar-21
Promoters	74.15	74.15
Public	25.85	25.85
Others	0.00	0.00
Total	100	100

Source: BSE

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➤ **~3%+ market share in global pyrethroid segment ; expected to increase going forward**

- In 2019, Out of the total pyrethroid market (in terms of consumption value) of ~3,236 Million US\$, Heranba industries garnered a market share of more than ~3%+ **with total sales of ~89 Million US\$**
- With increasing company's penetration in regulated markets of Europe & USA, we expect this share to go up in the coming years

➤ **Strong distribution network @ 9400 dealers**

- Company has extensive distribution network in India. Company has more than (9,400) dealers having access to (21) depots of company across sixteen (16) states and one (1) union territory in India.
- Company has a **strong marketing team of 150 employees** (B2B : 8 in exports, 2 in domestic markets; B2C : 140 in domestic branded formulation) to carry out its distribution & marketing activities

➤ **Capacity expansion & ramp up of existing facilities to drive growth**

- Company's total capacity is **expected to expand 1.65x (~26,000 mtpa) from current levels of ~15,000 mtpa** by end of FY24 post capex spend of Rs.~2,500 Million (majorly through internal accruals).
- Current capacity utilization levels :
 - **Technicals : ~90%**
 - **Formulations : ~55%**

➤ **Beneficiary of "China+1" effect**

- China's adoption of the 'Blue Sky' program to realize green GDP has led to the shutdown of several chemical plants. This, in turn, is expected to result in higher volumes of pyrethroids being exported out of India.

➤ **Increasing global & domestic presence by eyeing newer registrations**

- Heranba holds **(18) technical & (169) formulation registrations in India & (103) technical & formulation registrations for export market**. Company has further applied for (14) registrations in India & (7) Technicals and Formulations for the export market.
- Company exports its products to more than (60) countries in **Latin America, CIS, Middle East, Africa, Asia and South East Asia**.
- As of November 15, 2020, company's International Distribution Partners have successfully obtained registrations of (371) Technicals and Formulations in (41) countries across Middle East, CIS, Asia, South East Asia and Africa & further applied for (172) registration.
- Company has recently added **(7) new products in the fertiliser space**.

➤ **Experienced promoters**

- Mr. Sadashiv K Shetty and Mr. Raghuram K Shetty have 30 years of experience in agrochemical industry. Mr S K Shetty, was previously associated with Sudarshan Chemicals, Gharda Chemicals, Hoechst Pharmaceuticals and Nirlon Ltd & has masters degree in Chemistry. He has been instrumental in new product development, capacity expansion and future business strategies of the company. Mr. RK Shetty has been influential in developing the exports business of Heranba.

➤ **Low client & geographical concentration**

- Only ~18% of total revenues came from top 10 customers in FY21. The company's customers in B2B segment include companies like **Sumitomo Chemical India, Sulphur Mills, Biostadt India, Crystal Crop Protection, NACL (formerly Nagarjuna Agrichem), Sharda Cropchem, Meghmani Organics, PI Industries, Krishi Rasayan Group, Agro Life Science Corporation and Shanghai Agricare Chemical Company, China** among others who use the company's products to manufacture their own formulations and other products.
- This diversified customer base provides stability & stable revenues. Company's customer mix stands at **~21% in B2C segment & ~79% in B2B segment**
- Geographical breakup of revenue stands at **~49% from exports & ~51% from domestic markets**. None of the state contributes more than 16% of revenue making low geographical concentration company.

➤ **Less impact of seasonality due to diversified geographical contribution**

- Company derives **~49% revenue from exports & ~51% revenue from domestic markets** thereby hedging the risk of seasonality as the spread of seasons across globe is quite diversified. This insulates company from revenue fluctuations across quarters. Also it has low geographical concentration which further reduces the impact of seasonality.

➤ **Off – Patented molecules to add significant export opportunity**

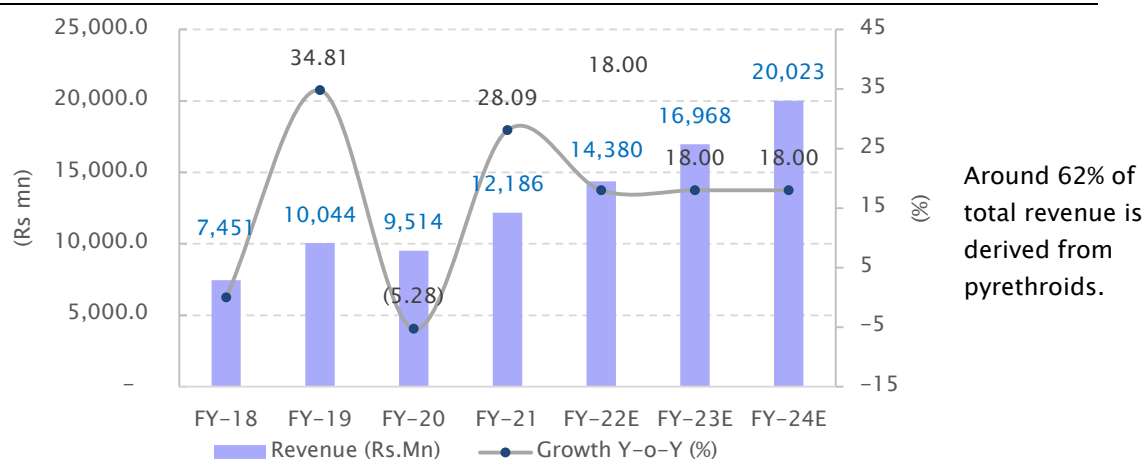
- There are around 22 **pesticide active ingredients which are about to go off patent in the next 10 years**. The demand for some of these off-patent technical-grade molecules in the global market is expected to increase drastically. It is expected that the market size of these products will cross over **\$ 4.1 billion by 2026**.
- Company sees wide opportunity in molecules that are going off patent. With its fungible capacity company can easily manufacture varied range of products which are going off patent & increase its export contribution.

Financial Summary

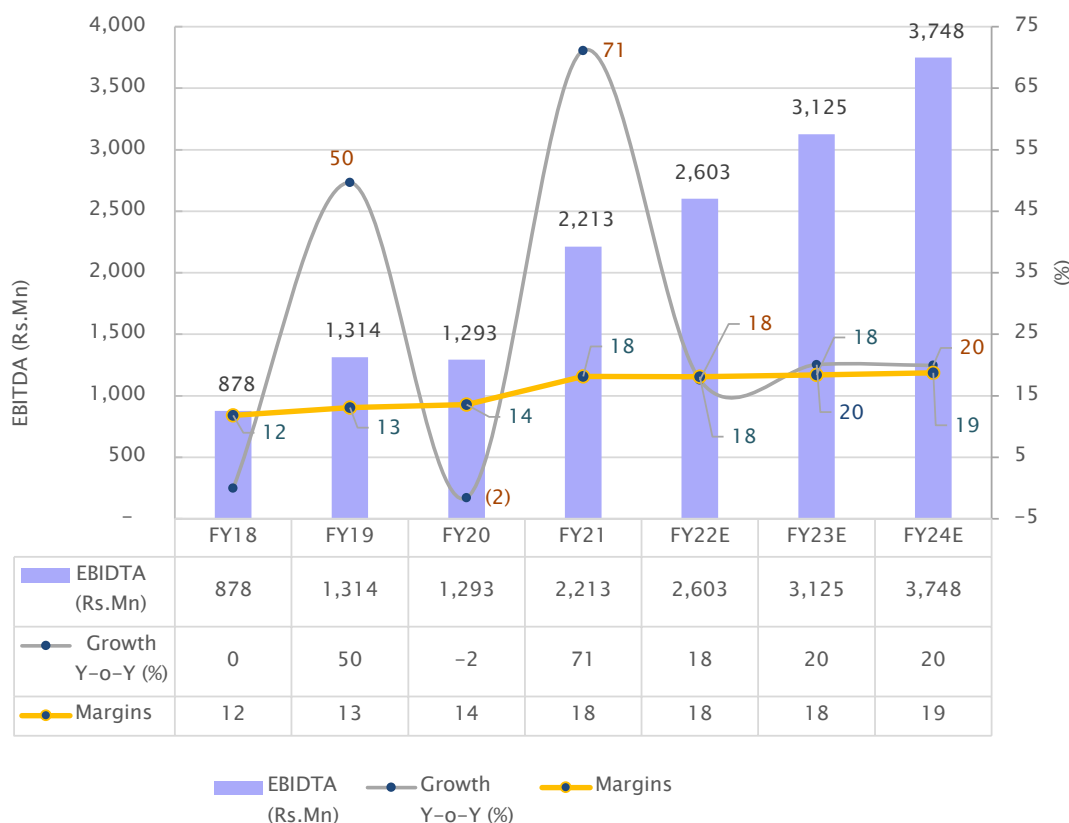
Y/E Mar (Rs mn)	FY-18	FY-19	FY-20	FY-21	FY-22E	FY-23E	FY-24E
Net sales	7,412	10,044	9,514	12,186	14,380	16,968	20,023
<i>Growth Y-o-Y (in %)</i>		36%	-5%	28%	18%	18%	18%
EBIDTA	878	1,314	1,293	2,213	2,603	3,125	3,748
<i>Growth Y-o-Y (in %)</i>		50%	-2%	71%	18%	20%	20%
Margins	11.8%	13.1%	13.6%	18.2%	18.1%	18.4%	18.7%
Adjusted net profit	469	754	977	1,542	1,833	2,184	2,598
<i>Growth Y-o-Y (in %)</i>		61%	30%	58%	19%	19%	19%
EPS (Rs)	60.0	19.3	25.0	38.5	45.8	54.6	64.9
P/E (x)	13	40	31	20	17	14	12
EV/EBITDA (x)	8	23	24	14	11	9	7

Source: Company

Exhibit 1: We expect sales to grow at CAGR of ~18% for next three years (FY21-24E)

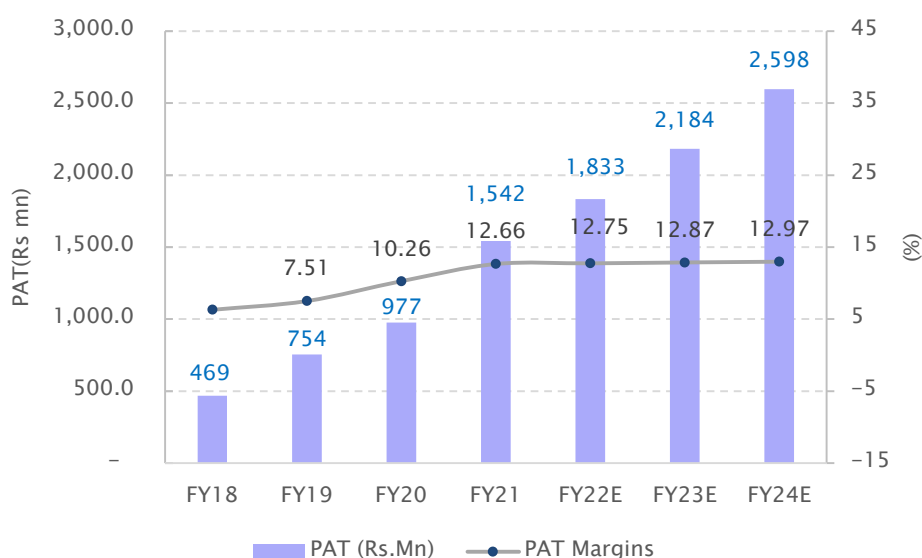


Source: Company, Dalal & Broacha Research

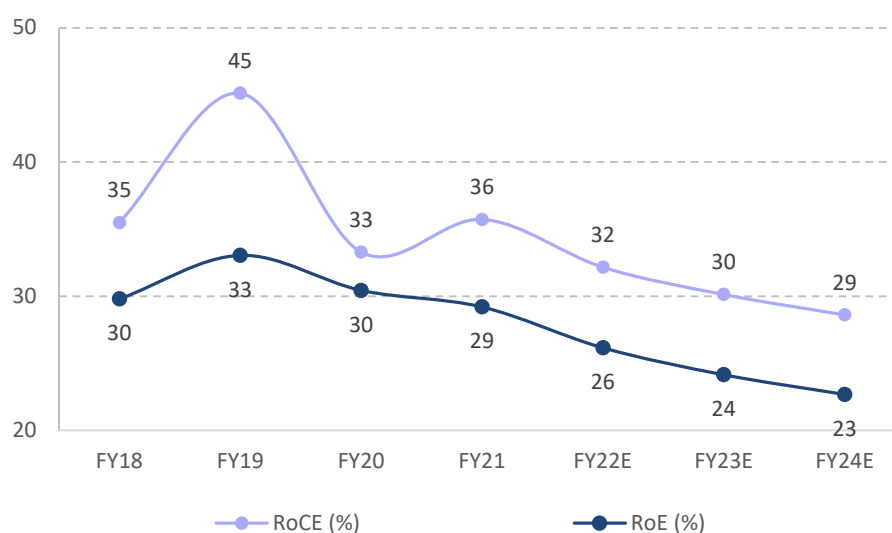
Exhibit 2: We expect EBITDA to grow at CAGR of ~19% in the same period (FY21-24E)

Source: Company, Dalal & Broacha Research

Over the years EBITDA margins have increased from 12% to 18% on account of better product mix, operational efficiency, increased registrations (domestic as well as globally), cost optimisation on raw material, backward integration etc.

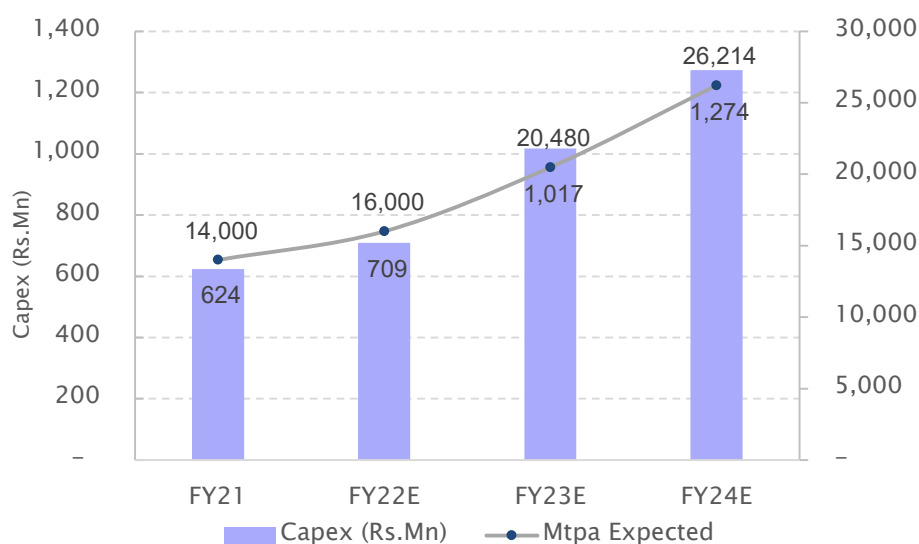
Exhibit 3: PAT & PAT Margins

Source: Company, Dalal & Broacha Research

Exhibit 4: RoCE (%) & RoE (%)

Source: Company, Dalal & Broacha Research

We have considered low dividend payout @5-6%

Exhibit 5: Expected Capex & Capacity (in MTPA)

Source: Company, Dalal & Broacha Research

Company maintains healthy asset turnover of ~3-3.5 on technicals business & ~10 on formulations business & on a blended basis company has an asset turnover of ~5-5.5 times. With additional capex of ~Rs.2,500 Mn getting executed at Sarigam (Gujarat) facility company should **add ~ Rs.7,000-8,000 Mn** to topline over next 2-3 years.(mainly in technical business)

Exhibit 6: Key Products & Registrations

Intermediates	Cypermethric acid chloride, cypermethric acid, MPBD, MPBA
Technical	Cypermethrin, Alphacypermethrin, Deltamethrin, Permethrin and Lambda cyhalothrin
Insecticides	Cypermethrin, Deltamethrin, Alpha Cypermethrin, Acephate, Dichlorvos, Lambda Cyhalothrin, Methamidophos, Permethrin, Profenophos, Temephos, Theta Cypermethrin, Thiamethoxam and Imidacloprid
Herbicides	Glyphosate, Metribuzin & Clodinofof
Fungicides	Tricyclazole and Hexaconazole

Registrations - Self owned

India	For	Available	Pipeline
Technicals	Manufacture & sale	18	14
Formulations	Manufacture & sale	169	
Export Market	For	Available	Pipeline
Technicals & formulations	Manufacture & sale	103	7
	Total	290	21

Registrations - International Distribution Partners

Export Market	For	Available	Pipeline
Technicals & formulations	Manufacture & sale	371	172

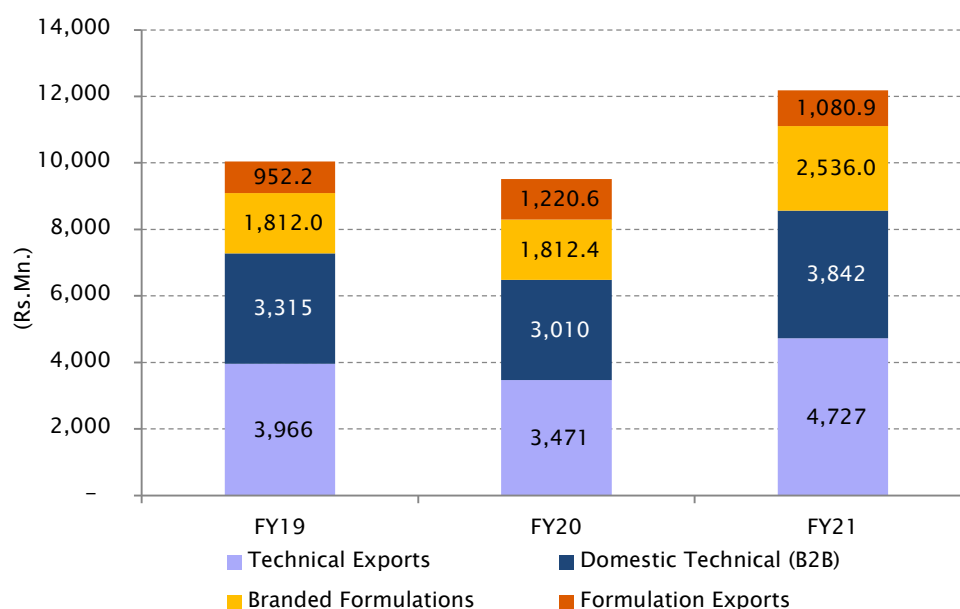
Key Products	Country	Registration Status
Deltamethrin Technical	Europe	Received
Alpha Cypermethrin Technical	Europe	Received
Lambda Cyhalothrin Technical	Europe	Filed,Pending for approval
Metribuzin Technical	Europe	Filed,Pending for approval
Lambda Cyhalothrin Technical	USA	Received,1st Order to dispatch in October 2021

Source: Company, Dalal & Broacha Research

Exhibit 7: Manufacturing Facilities

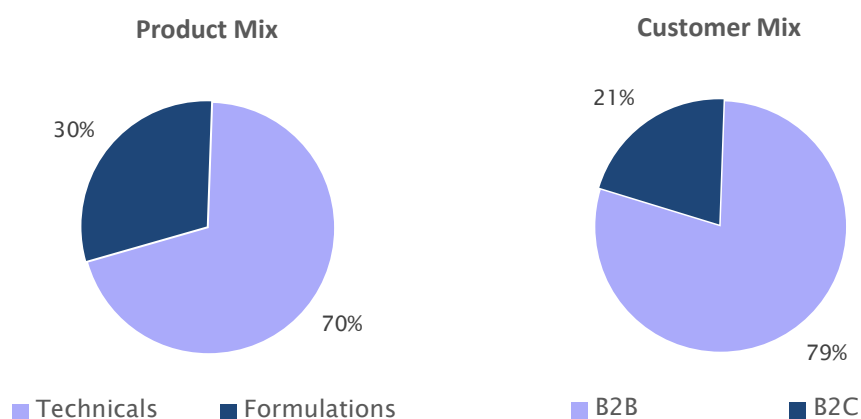
Units	Business Segment	FY20 Capacity (TPA)	Utilisation (FY20)
Unit 1 at Vapi	Exclusive manufacture of Intermediates & Technicals	4,944	91.50%
Unit 2 at Vapi	Intermediates & Technicals	4,080	88.50%
Unit 3 at Sarigam (~55,000 sq.m)	Formulation & Packaging ; New R & D Facility ; ~33,000 sq of vacant land - CapexPlanned for technical manufacturing	5,000	58.56%
	Total	14,024	
Land Parcel at Saykha, Dahej (~34,600 sq.mts)	For future expansion	10,680	Not Operational

Source: Company, Dalal & Broacha Research

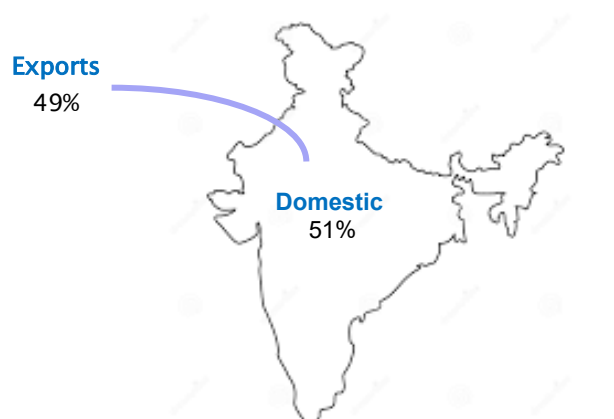
Exhibit 8: Business Verticals

Source: Company, Dalal & Broacha Research

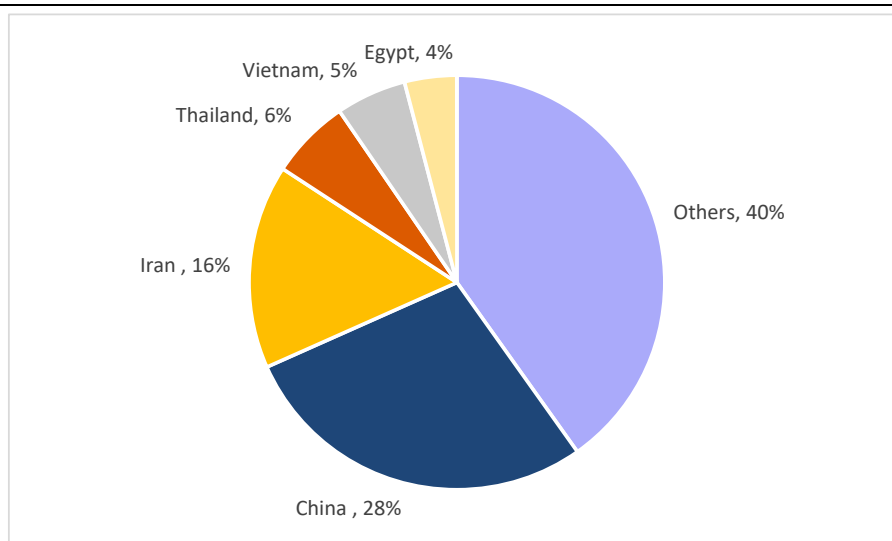
Company has 5 major verticals. **Technical business** comprises of both domestic & export sales. **Formulation business** comprises of both domestic & export sales. **Public health** vertical comprises of general insect control chemicals by participating in public health tenders. (Very small division so not shown separately)

Exhibit 9: Product Mix & Customer Mix

Source: Company, Dalal & Broacha Research

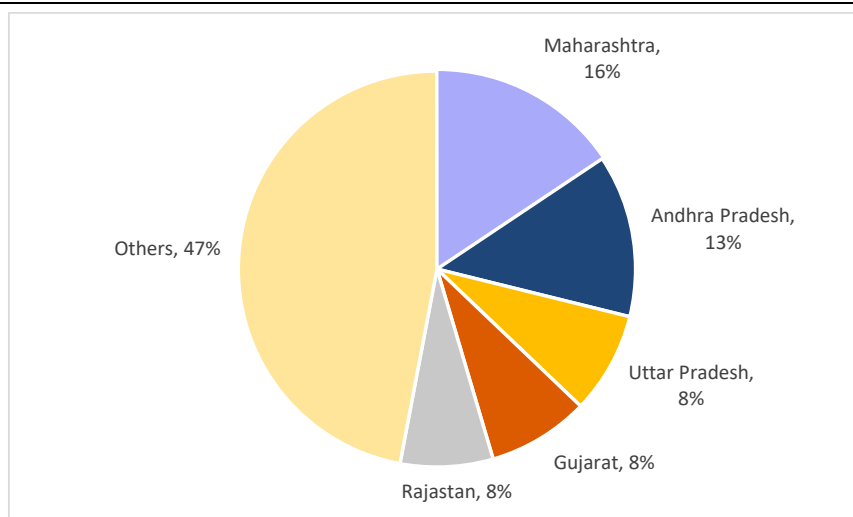
Exhibit 10: Geographical Breakup

Source: Company, Dalal & Broacha Research

Exhibit 11: Share of export revenue

Heranba's product are exported to 60+ countries across seven continents.

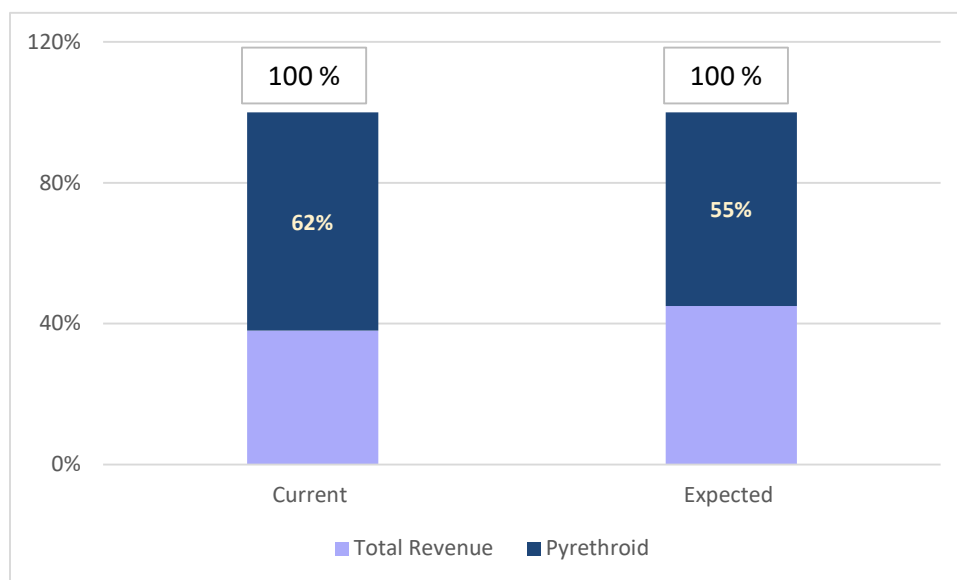
Source: Company RHP (FY20 Data), Dalal & Broacha Research

Exhibit 12: Share of domestic revenue

Source: Company RHP (FY20 Data), Dalal & Broacha Research

Diversified & stable customer base : Only ~18% of total revenues came from top 10 customers in FY21. The company's customers in B2B segment include companies like Sumitomo Chemical India, Sulphur Mills, Biostadt India, Crystal Crop Protection, NACL (formerly Nagajuna Agrichem), Sharda Cropchem, Meghmani Organics, PI Industries, Krishi Rasayan Group, Agro Life Science Corporation and Shanghai Agricare Chemical Company, China among others who use the company's products to manufacture their own formulations and other products.

Exhibit 13: Pyrethroid Contribution to Total Revenue



Source: Dalal & Broacha Research

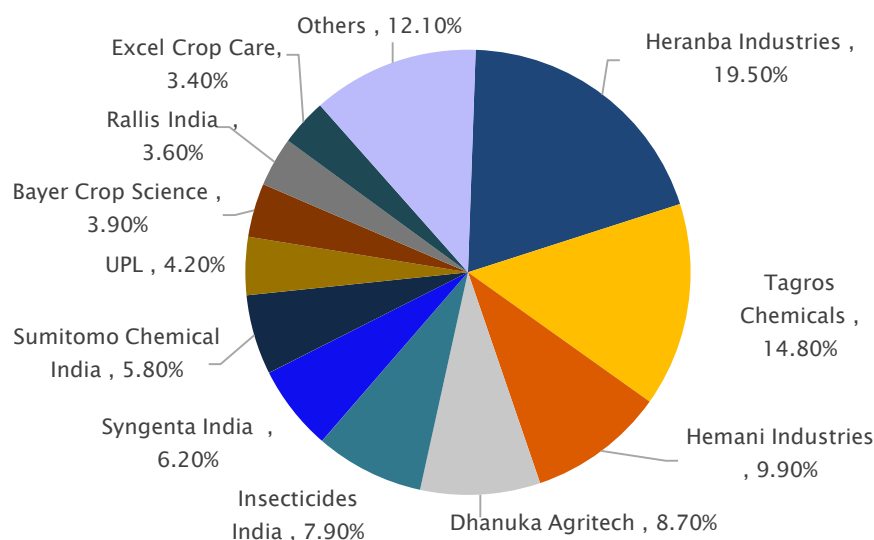
Initially the company started as pyrethroid manufacturer & entire topline contribution belonged to pyrethroid but gradually pivoted to other generic products so it's overall contribution as a percentage to total sales dropped to 62%. Further as company adds newer products the share of pyrethroid as a percentage to total sales is expected to drop to 55%

Exhibit 14: Summary of molecules going off-patent

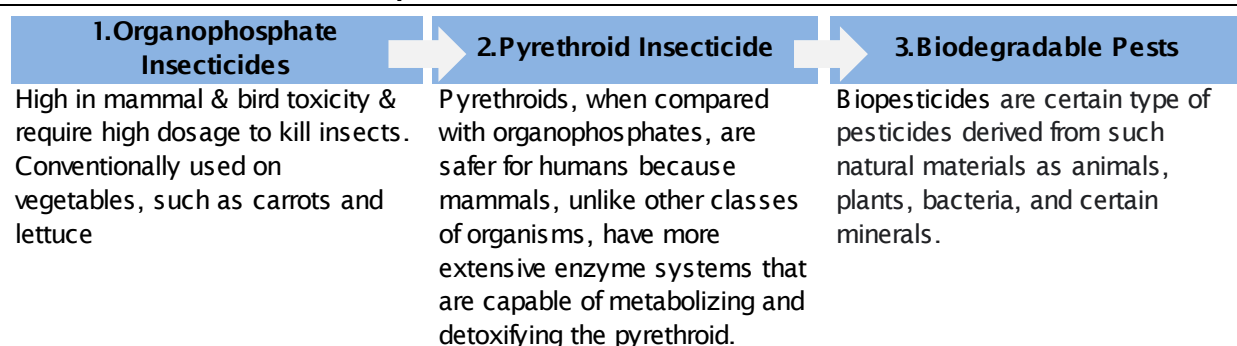
Name of Molecule	Name of Inventor	Market Size US \$ MI, 2019	Patent Expiry	Type of Pesticide
Chlorantraniliprole	Corteva/FMC	1,750	2024	Insecticide
Flubendiamide	Bayer Crop Science	507	2024	Insecticide
Fluxapyroxad	BASF SE	491	2022	Fungicide
Pinoxaden	Syngenta AG	421	2026	Herbicide
Benzovindiflupyr	Syngenta AG	419	2028	Fungicide
Bixafen	Bayer Crop Science	276	2023	Fungicide
Pyroxsulam	Corteva Agriscience	215	2024	Herbicide

Source: Dalal & Broacha Research, IHS Market, 2019 database (Philips McDougall).

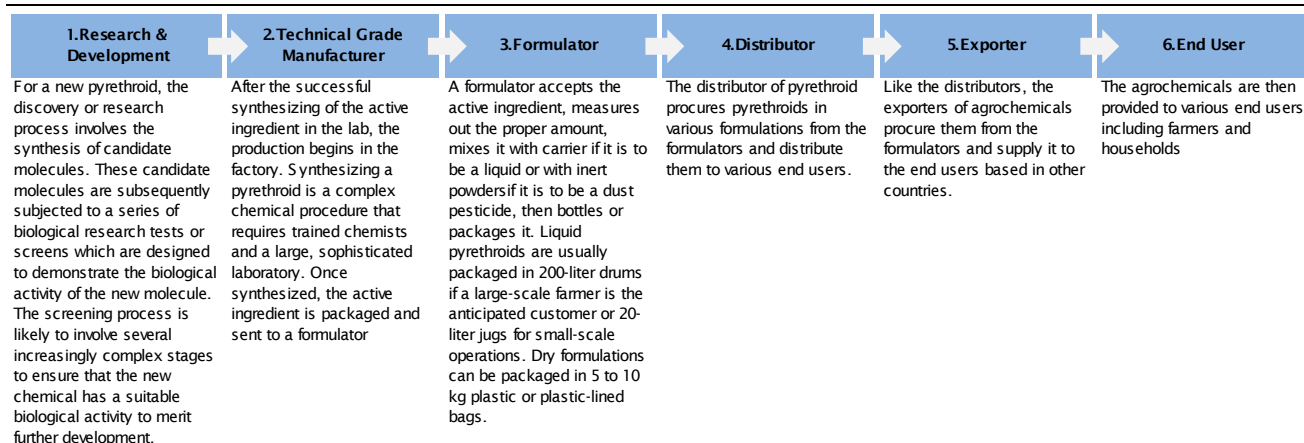
Pesticides worth **USD\$ 4.1 Billion** are expected to go off-patent by 2026. This is anticipated to provide significant export opportunities for Indian companies to develop generic molecules. With fungible capacity of Heranba, we expect good revenue contribution from products going off-patent.

Exhibit 15: Key Players in Indian Pyrethroid Market (in %)

Source: Company RHP, Dalal & Broacha Research

Exhibit 16: Evolution Process in pesticides

Source: Company, Dalal & Broacha Research

Exhibit 17: Value Chain Analysis

Source: Company, Dalal & Broacha Research

Exhibit 18: Total Employees & key bifurcation

Total Employees & key bifurcation	
Total Employees	~650+
Members in R&D Team	~22
Marketing Team	~150+
Marketing Team	
B2B	B2C
Exports ~8	Branded Formulation ~140
Domestic ~2	
Total : 10	Total : 140
Total ; ~150+	

Source: Company, Dalal & Broacha Research

Exhibit 19: Competition overview on key pyrethroid in product portfolio

Name of Company	Lambda Cyhalothrin	Deltamethrin	Alpha Cypermethrin
Heranba Industries	Yes	Yes	Yes
UPL	-	-	Yes
Bharat Rasayan	Yes	-	-
Dhanuka Agritech	Next FY Plan	-	-
Tagros Chemicals (Unlisted)	Yes	Yes	Yes

Source: Company, ValuePickrForum

Among listed players, only Heranba has a presence across the spectrum of various pyrethroids.

Breaking down of Agrochemical Universe

Exhibit 20: Global - Agrochemicals Market: Key Industry Highlights, 2019 and 2025

Global Market	2019 (in Bn US \$)	2025E (in Bn US \$)	CAGR 2019-2025E (%)
Agrochemicals Market- Value	65.59	73.39	1.89

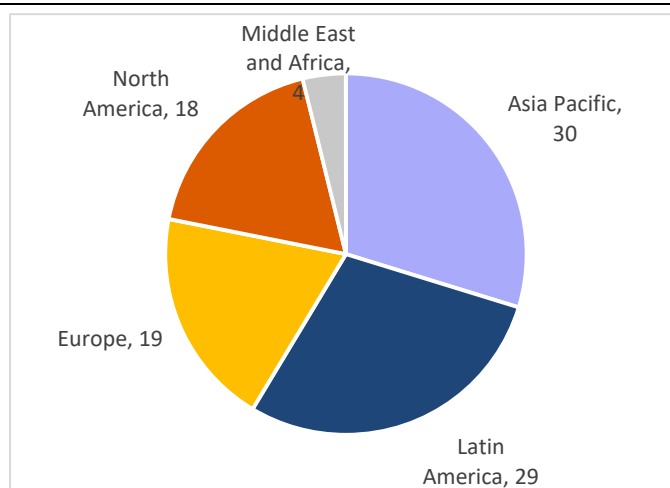
Source: Company RHP, IMARC ,Dalal & Broacha

Exhibit 21: Agrochemical market by region

Market by Region	2019 (in Bn US \$)	2025E (in Bn US \$)	CAGR 2019-2025E (%)	By (%)
Asia Pacific	19.53	24.39	3.78	30
Latin America	18.93	21.46	2.12	29
Europe	12.78	10.83	(2.73)	19
North America	11.83	13.87	2.69	18
Middle East and Africa	2.53	2.85	2.01	4
Total	65.60	73.40	1.89	100

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 22: Agrochemicals Market by region (%)

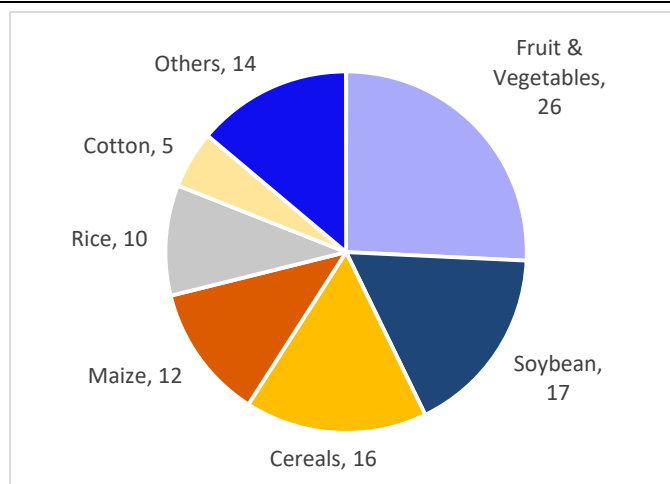


Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 23: Agrochemical market by crop type

Market by Crop Type	2019 (in Bn US \$)	2025E (in Bn US \$)	CAGR 2019-2025E (%)	By (%)
Fruit & Vegetables	14.88	15.89	1.10	26
Soybean	9.85	10.72	1.42	17
Cereals	9.42	10.26	1.44	16
Maize	6.96	7.62	1.52	12
Rice	5.7	6.28	1.63	10
Cotton	2.96	3.28	1.75	5
Others	8.02	8.47	0.91	14
Total	57.79	62.52	1.32	100

Source: Company RHP, IMARC ,Dalal & Broacha Research

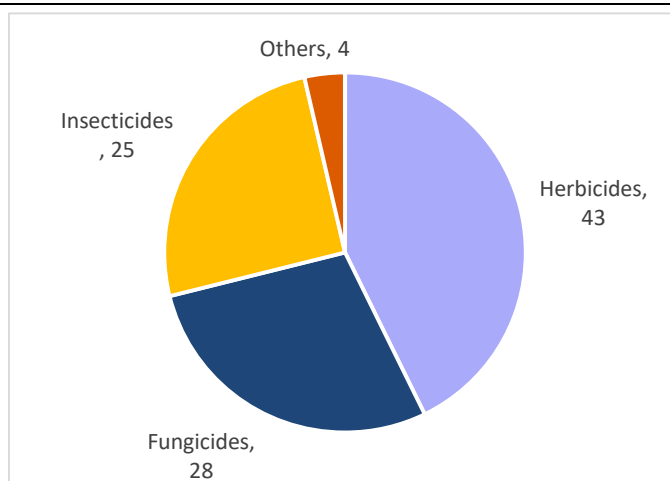
Exhibit 24: Agrochemical market by crop type (%)

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 25: Agrochemical market by product type

Market by Product Type	2019 (in Bn US \$)	2025E (in Bn US \$)	CAGR 2019-2025E (%)	By (%)
Herbicides	24.7	26.23	1.01	43
Fungicides	16.39	17.88	1.47	28
Insecticides	14.61	16.07	1.60	25
Others	2.09	2.34	1.91	4
Total	57.79	62.52	1.32	100

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 26: Agrochemical market by product type (%)

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 27: India: Agrochemicals Market: Key Industry Highlights, 2019 and 2025

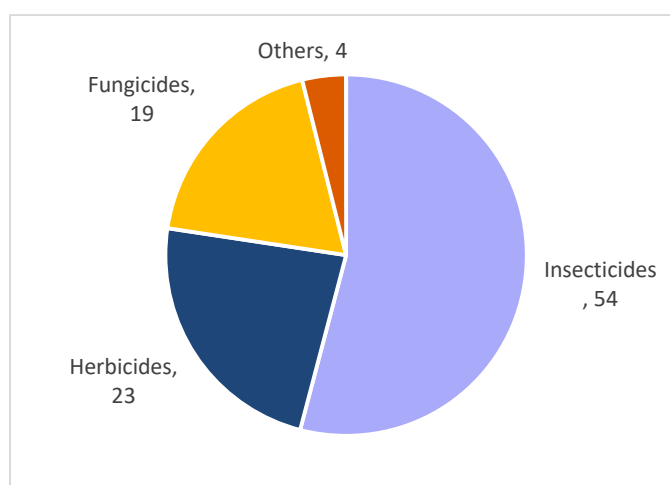
India Market	2019 (in Mn US \$)	2025E (in Mn US \$)	CAGR 2019-2025E (%)
Agrochemicals Market- Value	2,760.00	3,798.00	100

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 28: Indian Agrochemical market by product type

Market by Product Type	2019 (in Mn US \$)	2025E (in Mn US \$)	CAGR 2019-2025E (%)	By (%)
Insecticides	1,493	2,017	5.10	54
Herbicides	643	899	5.70	23
Fungicides	516	727	5.90	19
Others	108	155	6.21	4
Total	2,760	3,798	5.50	100

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 29: Indian Agrochemical market by product type (%)

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 30: Global Pyrethroid Market

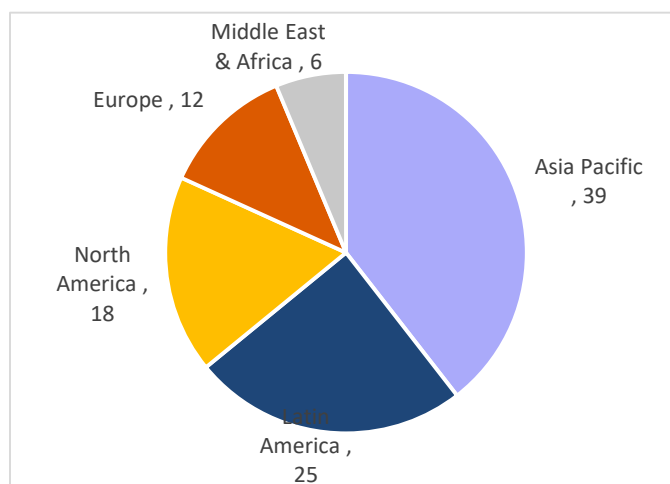
Global Market	2019 (in Mn US \$)	2025E (in Mn US \$)	CAGR 2019-2025E (%)
Pyrethroids Market-Consumption Value	3,235	4,068	3.89

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 31: Global pyrethroid market by region

Market by Region	2019 (in Mn US \$)	2025 (in Mn US \$)	CAGR 2019-2025E (%)	By (%)
Asia Pacific	1,278	1,564	3.43	39
Latin America	796	1,011	4.07	25
North America	573	731	4.14	18
Europe	385	495	4.27	12
Middle East & Africa	204	267	4.62	6
Total	3,236	4,068	3.89	100

Source: Company RHP, IMARC ,Dalal & Broacha Research

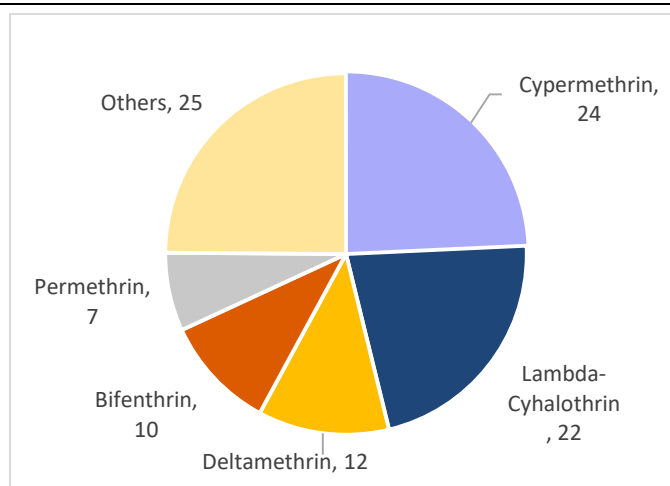
Exhibit 32: Global pyrethroid market by region (%)

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 33: Global: Pyrethroids Market: Breakup by Product Type

Market by product type	2019 (in Mn US \$)	in (%)	2025E (in Mn US \$)	in (%)
Cypermethrin	785	24	994	24
Lambda-Cyhalothrin	709	22	899	22
Deltamethrin	380	12	485	12
B ifenthrin	330	10	424	10
Permethrin	227	7	295	7
Others	805	25	971	24
TOTAL	3,236	100.0	4,068	100

Source: Company RHP, IMARC ,Dalal & Broacha Research

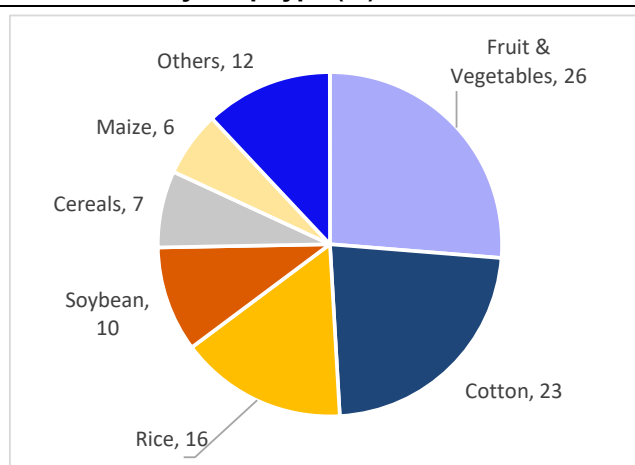
Exhibit 34: Global: Pyrethroids Market: Breakup by Product Type (%)

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 35: Global: Pyrethroids Market: by Crop type

Market by Crop Type	2019 (in Mn US \$)	2025 (in Mn US \$)	CAGR 2019-2025E	By (%)
Fruit & Vegetables	642	798	368	26
Cotton	557	696	379	23
Rice	384	480	380	16
Soybean	242	304	390	10
Cereals	176	225	418	7
Maize	149	194	446	6
Others	293	310	92	12
Total	2,443	3,007	2,473	100

Source: Company RHP, IMARC ,Dalal & Broacha Research

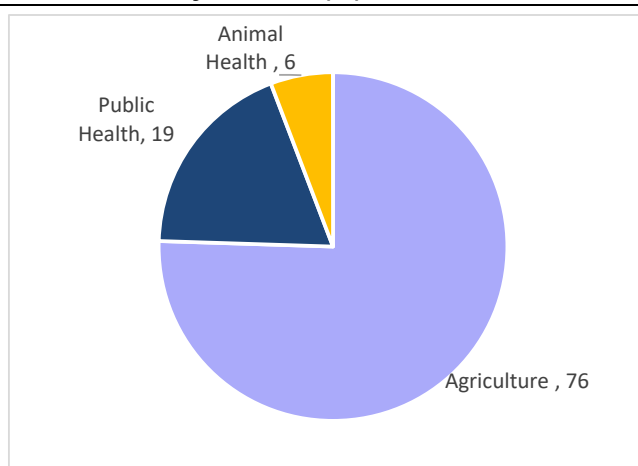
Exhibit 36: Global: Pyrethroids Market: by Crop type (%)

Source: Company RHP, IMARC ,Dalal & Broacha Research

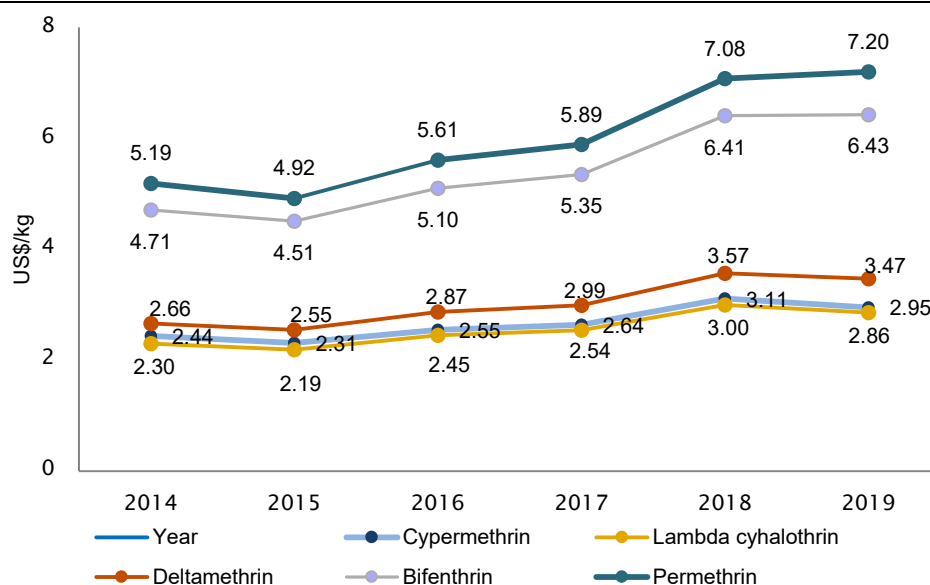
Exhibit 37: Global: Pyrethroids Market: by end use

Market by End Use	2019 (in Mn US \$)	in %
Agriculture	244,318	76
Public Health	60,513	19
Animal Health	18,769	6
Total	3,236	100

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 38: Global: Pyrethroids Market : by end use (%)

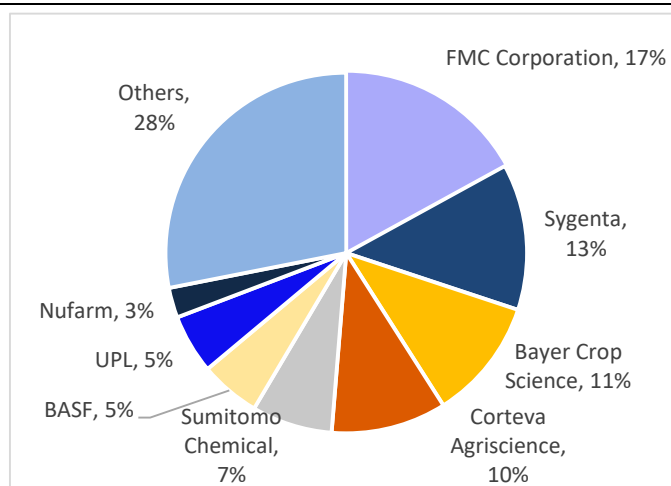
Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 39: Global: Pyrethroids Market: Price Trends (in US\$/Kg), 2014-2019

Year	2014	2015	2016	2017	2018	2019
Cypermethrin	2.44	2.31	2.55	2.64	3.11	2.95
Lambda cyhalothrin	2.30	2.19	2.45	2.54	3.00	2.86
Deltamethrin	2.66	2.55	2.87	2.99	3.57	3.47
Bifenthrin	4.71	4.51	5.10	5.35	6.41	6.43
Permethrin	5.19	4.92	5.61	5.89	7.08	7.20

Source: Company RHP, IMARC ,Dalal & Broacha Research

The prices for Cypermethrin is for 10% EC, Lambda-cyhalothrin for 5% EC, Deltamethrin for 2.5% EC, Bifenthrin for 10% EC and Permethrin for 25% EC

Exhibit 40: Key players globally (2019)

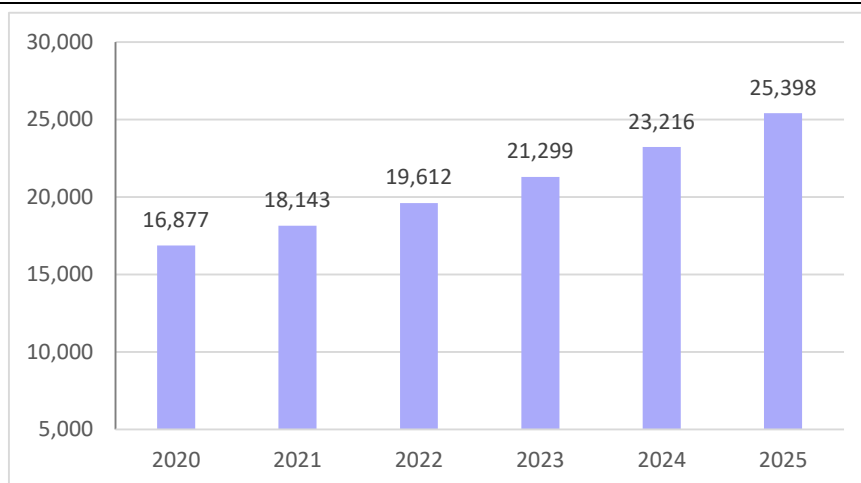
Source: Company RHP, IMARC ,Dalal & Broacha Research

In 2019, FMC Corporation dominated the global pyrethroids market, accounting for the share of 17.0% of the total market. FMC Corporation was followed by Sygenta (13.1%), Bayer Crop Science (10.9%), Corteva Agriscience (10.3%), Sumitomo Chemical (7.2%), BASF (5.4%), UPL Limited (5.3%), Nufarm (2.7%) and others (28.1%).

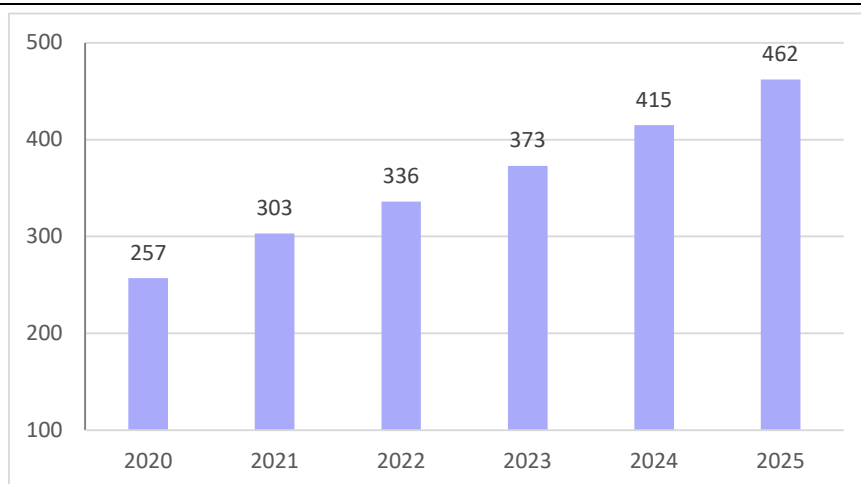
Exhibit 41: Indian pyrethroid market

Year	Production Vol.(Tons)	Production Value (Mn US \$)	Consumption Value (Mn US \$)
2014	12,530	216	77
2025	25,398	462	205
CAGR (%)	6.6	7.2	9.3

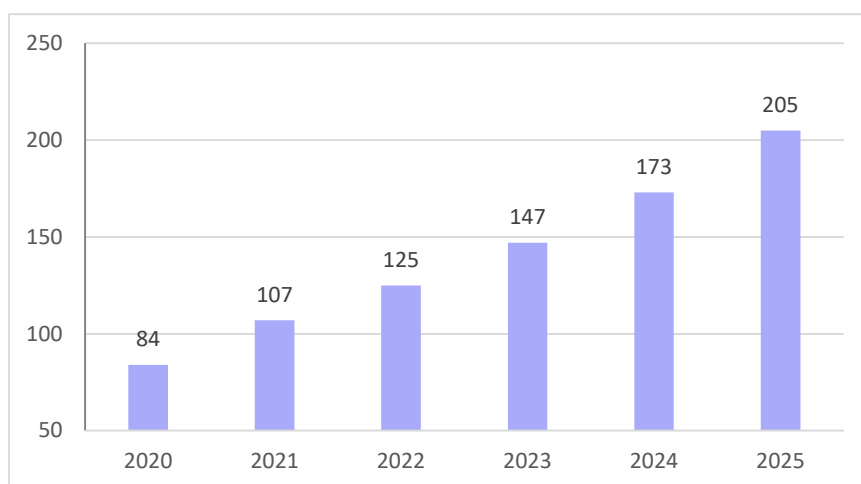
Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 42: Indian Pyrethroids Market Forecast: Production Volume (Tons), 2020-2025

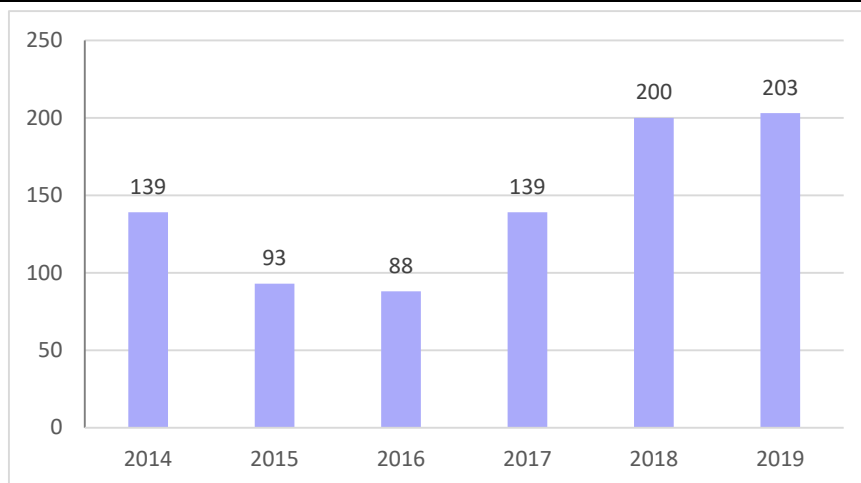
Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 43: Indian Pyrethroids Market Forecast: Production Value (in Million US\$), 2020-2025

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 44: Indian Pyrethroids Market Forecast: Consumption Value (in Million US\$), 2020-2025

Source: Company RHP, IMARC ,Dalal & Broacha Research

Exhibit 45: Indian Pyrethroids Market Forecast: Export Value (in Million US\$), 2014-2019

Source: Company RHP, IMARC ,Dalal & Broacha Research

The Indian Pyrethroids market reached an export value of US\$ 203 Million in 2019, growing at a CAGR of 7.9% during 2014-2019.

Factors Driving Agrochemical Consumption in India

India is the 4th largest global producer of crop protection products, after the US, Japan and China. It has also emerged as one of the major exporters of crop protection products globally. With more mouths to feed, shrinking arable area and loss of yield due to increased pest attacks, the crop protection products industry in the country is growing significantly. Some of the major factors driving the Indian agrochemicals market growth are as follows:

Increasing Food Demand: With the estimated growth of population to 1.7 Billion by 2050, Indian food grain demand is estimated to reach a volume of 355 Million Tons by 2030. On account of reducing arable land, small land holdings and low consumption of pesticides per hectare, the requirement for increasing farming productivity is being witnessed, which is crucial for improving the overall outputs. This can be further achieved through optimum usage of farm productivity-enhancing inputs like agrochemicals.

Increasing demand for Horticulture and Floriculture: Fruits and vegetables account for nearly 90% of total horticulture production in the country. Due to rapid urbanization and a shift towards nutritious and healthy diets, the demand for fruits and vegetables is likely to increase by 141% (from 268 Million Tons to 647 Million Tons in 2050). Hence, in order to reduce the post-harvest loss in fruits and vegetables, the demand for fungicides is expected to increase significantly.

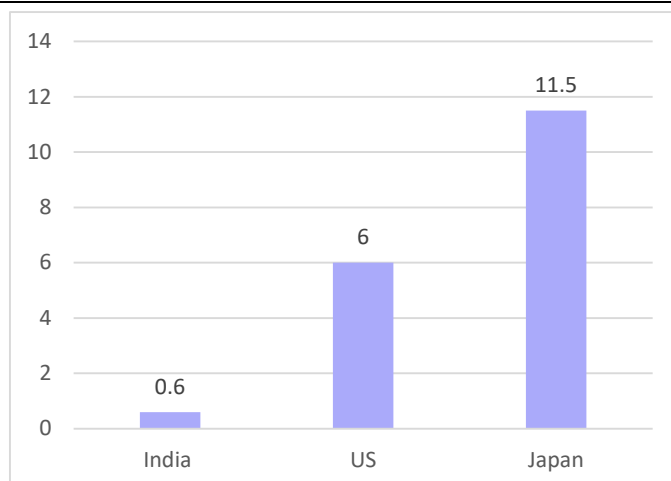
Off Patent Molecules: Pesticides worth USD\$ 4.1 Billion are expected to go off-patent by 2026. This is anticipated to provide significant export opportunities for Indian companies to develop generic molecules. Further, the implementation of stringent regulations by the Chinese government pertaining to environmentally polluting industries is also projected to offer numerous opportunities for the Indian manufacturers in the form of off-patent molecules for effectively increasing exports from India.

Increasing Export Potential: The Indian exports of agrochemicals reached a value of US\$ 3.37 Billion in 2019, growing at a CAGR of 11.6% during 2014-2019. The Indian government has set an agricultural export policy to expand the exports to USD\$ 60 Billion by 2022. This is expected to boost the Indian export of agrochemicals in the coming years. Apart from this, the government is also targeting cluster-based developments, which will boost the competitiveness of exports and domestic sales by reducing logistics costs.

Government Budgetary and Policy Support: The growing adoption of institutional credit to provide credit facilities to farmers in rural areas is continuously increasing. Thus, the availability and low-interest rates of farm loans have encouraged farmers to use pesticides in order to improve their crop yields. The increasing MSP (Minimum Selling Price) has also invigorated farmers to improve their yield, which is anticipated to boost the use of agrochemicals.

Increasing Usage of Bio-pesticides: Globally, the bio-pesticides market is growing at a CAGR of 10-15%, whereas the bio-pesticides segment in India constitutes only 3% of the Indian crop protection market. However, growing awareness regarding numerous eco-friendly approaches and the increasing use of integrated pest management (IPM) method for crop protection is providing lucrative opportunities for the growth of bio-pesticides in the Indian agrochemical industry.

Per Capita Consumption: India has one of the lowest pesticide consuming country in the world. India's per hectare consumption of pesticide is 0.6 Kg is lower when compared to the US (5-7 Kg/ha) and Japan (11-12 Kg/ha). Thus, an immense potential for the growth of the agrochemical industry in India is anticipated. This lower per capita consumption of pesticides has positively impacted the agrochemicals market growth over the past few years.

Exhibit 46: Per capita consumption comparison (kg/ha)

Source: Company RHP, IMARC ,Dalal & Broacha Research

Climatic Conditions: Farms need an array of inputs to protect crops from the effects of erratic climatic conditions. Irregular monsoons, in confluence with lack of irrigation, results in low agricultural yields.

Why is Heranba so special to us? (Moat/Competitive edge)

Vertically integrated:

- Being vertically integrated & present across entire value chain, Heranba Industries has **cost advantage in terms of raw material procurement** as it produces intermediates (key raw material) in-house required to produce technicals.

Key raw material difficult to produce:

- **CMAC** which is a key raw material to produce pyrethroid cannot be made by all companies as it requires scale, advance chemistry & technical know-how to produce it.

Entry Barrier:

- To set up pyrethroid plant of this scale one needs to invest 3-4 times the amount of investment that of Heranba Industries & would at least take 3-4 years to set-up & execute production. For any big agrochemical company to establish any plant the desired gross margin should be in the range of 40-50% & at current levels of gross margin of pyrethroid is in the range of 30-35%, no big agrochemical company would find it attractive to setup plant.

Phasing out of organophosphates :

- Europe has already phased out organophosphate compounds, if USA or any other country follows suite looking at the global awareness for ESG, Heranba will stand out to be big beneficiary.
- (Any change happening in the agrochemical space, pyrethroid will stand out to be a big beneficiary as it is the next ideal molecule in the evolution process.)

Ability of management to pivot :

- Over the years management has been able to successfully pivot as and when time demanded from backward integration to forward integration or increasing registrations or enhancing capacity or having better product mix

~50% revenue from exports :

- Heranba could be a big beneficiary of “China + 1” strategy as it exports to more than 60+ countries. Also company has plans to enter regulated market of USA, Latin America, Europe where agrochemical penetration is much higher along with better price realisation & margins.

Simplifying Concepts

Pyrethroids (type of insecticide) are synthetic chemical compounds that are procured from **chrysanthemum cinerariaefolium flowers**. They are volatile, soluble in water and have low mobility in soil... They are used to control pests and insects in farms, homes, offices, etc. The name pyrethroid means “pyrethrum-like” and refers to the origin of this class of pesticides. Pyrethroids are cost-effective alternatives for conventionally used insecticides.

Most pyrethroid insecticides exhibit characteristics like:

- Require very low doses to kill insects (high arthropod toxicity);
- Low in toxicity to mammals and birds
- Fast-acting
- Especially effective against chewing insects, though many pyrethroid insecticides can be absorbed by the insect pest when it merely walks over the dry residue;
- Bind tightly to soil and organic matter (therefore not as effective in penetrating soil to kill underground pests);
- High in toxicity to fish if applied directly to water

Major Products & their classification

Technicals : These comprise pyrethroids as well as other chemicals – manufactured & sold in bulk to Indian agrochem companies and in exports. They are purest form of a pesticide produced for commercial use, prior to being formulated.

- **Insecticide:** Cypermethrin, Deltamethrin, AlphaCypermethrin, permitherin, lambda cyhalothrin, etc.
- **Fungicide:** Tricyclazole and Hexaconazole
- **Herbicide:** Glyphosate, Metribuzin & Clodinofof.

Intermediates - An intermediate is a molecule that is formed from two or more reactants and then reacts further to give products. Intermediates manufactured by company: Cypermethric Acid Chloride (CMAC), High CIS CMA, High CIS CMAC, High Trans CMA, High Trans CMAC, Bromobenzenes and Metaphenoxy Benzaldehyde (MPBD). Intermediates are not sold in open market but are used for captive consumption to produce technical & formulations.

- **Example** - CMAC is an intermediate used to manufacture Cypermethrin technical
- Backward integrated in CMAC allows heranba to be cost competitive

Formulations - Formulation is manufacturing of preparation containing one or more technical grade pesticide in a definite proportion along with other specified ingredients. A pesticide formulation is a mixture of chemicals which effectively control a pest. Formulating a pesticide involves processing it to improve its storage, safety, application, or effectiveness.

- Within this, they manufacture formulation under own brand through own distribution in India. **Branded formulations** is a forward integration of their technical business Brands: Insecticide (Alpha Shakti , Jayam Plus, Progress Plus, cyraplus, etc). Herbicide (Glory, Chakde, etc) This is where backward integration comes into picture – key pyrethroid ingredient used in Alpha Shakti in Alpha cypermethrin. Key pyrethroid used in Jayam Plus – is Lambda Cyhalothrin and so on.
- Exports them in bulk outside India and with customer specified packaging. (Not as their brand)

Company overview

Heranba Industries (Heranba) was incorporated as an agrochemical company in 1992. It is also one of the leading domestic producers of **synthetic pyrethroids** with a market share of **19.5% in domestic pyrethroid market**. The company is present in the entire product value chain of the agrochemicals industry (i.e. Intermediates, Technicals and Formulations)

Business verticals include :

- (a) Domestic bulk sales of Technicals (31.53% of FY21 sales),
- (b) Technicals bulk exports (38.79% of FY21 sales)
- (c) Branded formulations (20.8% of FY21 sales),
- (d) Formulations exports (8.87% of FY21 sales)

Heranba has more than **9,400 dealers** across sixteen (16) states and one (1) union territory in India supporting the distribution of its products. It has three manufacturing facilities in and around Vapi with a capacity of **14,024 MTPA**.

Promoter Details

Mr Sadashiv K Shetty and **Mr Raghuram K Shetty** have 30 years of experience in agrochemical industry. Mr S.K.Shetty, was previously associated with Sudarshan Chemicals, Gharda Chemicals, Hoechst Pharmaceuticals and Nirlon Ltd & has masters degree in Chemistry. He has been instrumental in new product development, capacity expansion and future business strategies of the company. Mr R.K. Shetty has been influential in developing the exports business of Heranba.

Key Risks

Highly regulated industry - Crop protection product needs to be approved by Central Insecticides Board & Registration Committee (CIB&RC), and then further approved by state governments of each state where the product is to be distributed or sold.

No Long term contracts - Company does not have long term contract with its customer unlike CRAMPS business. Company sells in open market & competes with large multi-national organizations. Heranba has been dealing with most of its customers for the past several years but the company never entered into any long-term agreements with customers. Similarly, even on the supply side it has been purchasing raw materials from various suppliers, both domestic and international but has not entered into any long-term contract. As a result, customers and suppliers can terminate their relationships with the company due to a change in preference or any other reason on immediate basis, which could materially and adversely impact the business

Strict regulation on environmental matters - The company's manufacturing facilities are being inspected on regular basis by the Gujarat Pollution Control Board (GPCB). In the past, the company has received temporary closure notices from GPCB for its manufacturing units on inspection by GPCB officials. However, it was revoked post rectifying lapses.

Delay in product approvals : - The company's products must receive requisite regulatory registrations after being tested for their safety, efficacy and environmental effect before they can be introduced and marketed in any jurisdiction. The time taken to obtain registration in India is generally from six months to two years from the date of application. This registration process increases cost of developing new products and does not guarantee that it will be successful in selling these products after their registration is granted.

Dependency on China: in H1FY21, the company reported 14.71% of revenues from China. It imported 13.45% of raw materials from China during same period. Any restrictions, either from the central or state governments of India, or from China, on such exports/import may adversely affect business, prospects, financial condition and results of operations

Working capital intensive business : Working capital days are usually high in agro-chemical business. In FY21, heranba's working capital days stood around ~95 days & debtor days stood around ~100 days which management has guided that it won't fall below current range. Intensive working capital requirement reduces company's ability to re-invest cashflows.

Valuation & Outlook

We see good growth potential going ahead for Heranba due of its presence in the entire value chain. **Growth drivers like China + 1 effect, growing agrochemical market, increasing dependence of agro chemical companies on local supplier, expansion in newer geographies, expanding product portfolio, newer registrations, capex plans etc** could be good triggers for the company going forward.

Currently the company is trading at 15x FY23E of 54.6 Rs. We have a **BUY** recommendation at current levels with a target price of Rs.1,200 valuing company at 22x FY23E.

Financials

Profit & Loss

P&L (Rs mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	10,044	9,514	12,186	14,380	16,968	20,023
Total Operating Expenses	6,978	6,374	7,795	9,366	11,052	13,041
Employee Cost	380	465	522	584	655	733
Other Expenses	1,373	1,381	1,656	1,827	2,137	2,500
Operating Profit	1,314	1,293	2,213	2,603	3,125	3,748
Depreciation	60	82	147	188	250	329
PBIT	1,255	1,211	2,067	2,415	2,876	3,420
Other income	74	165	70	84	93	102
Interest	107	88	54	49	49	49
PBT	1,221	1,288	2,083	2,450	2,919	3,473
exceptional)	1,221	1,288	2,083	2,450	2,919	3,473
Provision for tax	467	312	541	617	736	875
Reported PAT	754	977	1,542	1,833	2,184	2,598
MI	-	-	-	-	-	-
Net Profit	754	977	1,542	1,833	2,184	2,598
Adjusted Profit (excl Exceptionals)	754	977	1,542	1,833	2,184	2,598

Balance Sheet

Balance Sheet	FY19	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	391	391	400	400	400	400
Reserves	1,891	2,818	4,881	6,606	8,642	11,051
Net worth	2,282	3,208	5,281	7,006	9,042	11,451
Non Current Liabilites	103	86	101	121	126	131
Current Liabilites	3,220	2,953	3,051	4,695	5,380	6,183
TOTAL LIABILITIES	5,604	6,248	8,433	11,822	14,547	17,766
Non Current Asset s	1,088	1,534	1,881	2,329	3,034	3,920
Fixed Assets	671	1,332	1,431	1,856	2,523	3,368
Goodwill	-	-	-	-	-	-
Non Current Investments	0	37	101	101	101	101
Deferred Tax Asset	1	-	10	-	-	-
Other Financial Assets	71	84	242	266	292	322
Other Non Current Assets	345	81	97	107	117	129
Current Asset s	4,516	4,713	6,552	9,493	11,513	13,845
Current investments						
Inventories	1,139	1,455	1,660	2,167	2,557	3,017
Trade Receivables	2,533	2,585	3,418	4,019	4,742	5,595
Cash and Bank Balances	210	32	848	2,618	3,456	4,399
Short Term Loans and Advances	15	26	20	22	24	27
Other Current Assets	619	615	607	667	734	807
TOTAL ASSETS	5,604	6,248	8,433	11,822	14,547	17,766

Cashflow

Cash Flow St. (Rs. mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net Profit	754	977	1,542	1,833	2,184	2,598
Add: Dep. & Amort.	60	82	147	188	250	329
Cash profits	814	1,059	1,689	2,021	2,433	2,926
(Inc)/Dec in						
-Sundry debtors	(502)	(52)	(833)	(601)	(723)	(854)
-Inventories	(199)	(316)	(205)	(507)	(390)	(460)
-Loans/advances	-	(9)	9	-	-	-
- Other Current Assets	(109)	253	(168)	(97)	(106)	(117)
-Current Liab and Provisions	102	97	170	44	47	52
Sundry Creditors	568	(227)	(169)	1,590	638	753
Change in working capital	(140)	(255)	(1,196)	429	(534)	(626)
CF from Oper. activities	674	804	493	2,450	1,899	2,301
CF from Inv. activities	(257)	(780)	(310)	(612)	(917)	(1,174)
CF from Fin. activities	(326)	(202)	632	(67)	(145)	(184)
Cash generated/(utilised)	92	(178)	816	1,771	838	942
Cash at start of the year	118	210	32	848	2,618	3,456
Cash at end of the year	210	32	848	2,618	3,456	4,399

Ratios

Ratios	FY19	FY20	FY21	FY22E	FY23E	FY24E
OPM	13.08%	13.60%	18.16%	18.10%	18.42%	18.72%
NPM	7.45%	10.09%	12.58%	12.67%	12.80%	12.91%
Tax Rate	38.26%	24.20%	25.95%	25.20%	25.20%	25.20%

Growth Ratios (%)

Net Sales	35.51%	-5.28%	28.09%	18.00%	18.00%	18.00%
Operating Profit	49.66%	-1.57%	71.12%	17.59%	20.08%	19.94%
PBIT	60.04%	5.50%	61.66%	17.64%	19.15%	18.96%
PAT	60.86%	29.52%	57.93%	18.84%	19.15%	18.96%

Per Share (Rs.)

Net Earnings (EPS)	19.3	25.0	38.5	45.8	54.6	64.9
Cash Earnings (CPS)	20.8	27.1	42.2	50.5	60.8	73.1
Dividend	1.0	1.0	1.7	2.7	3.7	4.7
Book Value	58	82	132	175	226	286
Free Cash Flow	281	(562)	125	1,749	875	1,013

Valuation Ratios

P/E(x)	42	32	21	18	15	12
P/B(x)	13.9	9.9	6.1	4.6	3.6	2.8
EV/EBIDTA(x)	24.3	24.7	14.4	11.6	9.4	7.6
Div. Yield(%)	0.12%	0.12%	0.21%	0.33%	0.46%	0.58%
FCF Yield(%)	34.65%	-69.43%	15.38%	215.97%	108.00%	125.12%

Return Ratios (%)

ROE	33.05%	30.44%	29.20%	26.16%	24.15%	22.68%
ROCE	45.12%	33.29%	35.73%	32.16%	30.13%	28.61%

Peer Comparison

Company	CMP	M.Cap	Sales	EBITDA	OPM	PAT	FY21 EPS	FY21 P/E	ROE	ROCE
Heranba Industries Ltd	810	32,410	12,186	2,213	18.16%	1,542	38.5	21.0	29%	36%
Peer Group										
Sumitomo Chemical India Ltd	401	200,157	26,449	4,868	18.41%	3,454	6.9	57.9	22%	29%
Rallis India Ltd	292	56,687	24,294	3,229	13.29%	2,191	11.8	24.9	14%	16%
Bharat Rasayan Limited	12,300	52,275	10,920	2,394	21.93%	1,657	385.7	31.9	23%	27%
Punjab Chemicals & Crop Protection Ltd	1,672	20,502	6,782	955	14.08%	491	40.0	41.8	34%	37%

Recommendation Summary

Dates	Rating	Report Type	Reco. Price	Target
20-Aug-21	Buy	Management Meet Update	775	1,200
23-Sep-21	Buy	Initiating Coverage	810	1,200

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